percent on that capital. At the end of one year, book value will be $11.50 per share, if the stock pays no dividend. At the end of the second year, it will be $13.22, and at the end of the third year $15.20.

"In five years, the company's book value will have doubled," Phelps writes. "In 10 years, it will have quadrupled. In 33 years, it will be up one hundredfold."

If the company had paid dividends, the story would be quite different.

Say it paid out one-third of its earnings. It would then take 15 years to quadruple its capital, not 10. And in 33 years, it would be up 23-fold, instead of being a 100-bagger.

"Obviously," Phelps concludes, "dividends are an expensive luxury for an investor seeking maximum growth. If you must have income, don't expect your financial doctor to match the capital gains that might have been obtainable without dividends. When you buy a cow to milk, don't plan to race her against your neighbor's horse."

We saw this same view of dividends with Akre. There is a place for dividends, though, and they have been important to the overall return of many 100-baggers. However, we should prefer a company that can reinvest all of its earnings at a high clip. If it pays a dividend, that's less capital that it has to reinvest. And that reduces the rate of return.

If dividends are a drag, borrowed money is an accelerant. A company that earns 15 percent on its capital could raise it to, say, 20 percent by taking on some debt. But this raises the risk of the stock too.

There are other ways to net a 100-bagger. Discoveries of natural resources, such as a great new oil field, can get you a 100-bagger. New inventions and new blockbuster drugs can do the same. But these are hard to predict. So I would instead emphasize looking for high returns on capital and the ability to reinvest and produce high returns for years and years.

A moat, even a narrow moat, is a necessity.

#5 Smaller Companies Preferred

Start with acorns, wind up with oak trees. Start with oak trees, and you won't have quite the same dramatic growth. It may seem obvious, but it's important.